

It was one of those incredible chance occurrences. When I was 17, I was backpacking across Europe. I was in Rome and had run out of books to read. I went to a local open market where there was a book vendor, and, literally, the only book they had in English was *Reminiscences of a Stock Operator*. It was an old, tattered copy. I still have it. It's the only possession in the world that I care about. The book was amazing. It brought everything in my life together.

What hooked you?

What hooked me early about macro was . . .

No, I meant what hooked you about the book? The book has nothing to do with macro.

I disagree. It's all there. It starts off with the protagonist just reading the tape, but that isn't what he developed into. Everyone gives him tips, but the character Mr. Partridge tells him all that matters, "It's a bull market."²

That's a fundamental macro person. Partridge teaches him that there is a much bigger picture. It's not just random noise making the numbers go up and down. There is something else going on that makes it a bull or bear market. As the book's narrator goes through his career, he becomes increasingly fundamental. He starts talking about demand and supply, which is what global macro is all about.

People get all excited about the price movements, but they completely misunderstand that there is a bigger picture in which those price movements happen. Price movements only have meaning in the context of the fundamental landscape. To use a sailing analogy, the wind matters, but the tide matters, too. If you don't know what the tide is, and you plan everything just based on the wind, you are going to end up crashing into the rocks. That is how I see fundamentals and technicals. You need to pay attention to both to make sense of the picture.

Reminiscences is a brilliant book about the journey. The narrator starts out with an interest in watching numbers go up and down. I started out with an interest in politics and economics. But we both end up in a place that is not that far apart. You need to develop your own market experience. You are only going to fully understand what the traders in your books were saying after you have done it yourself. Then you realize,